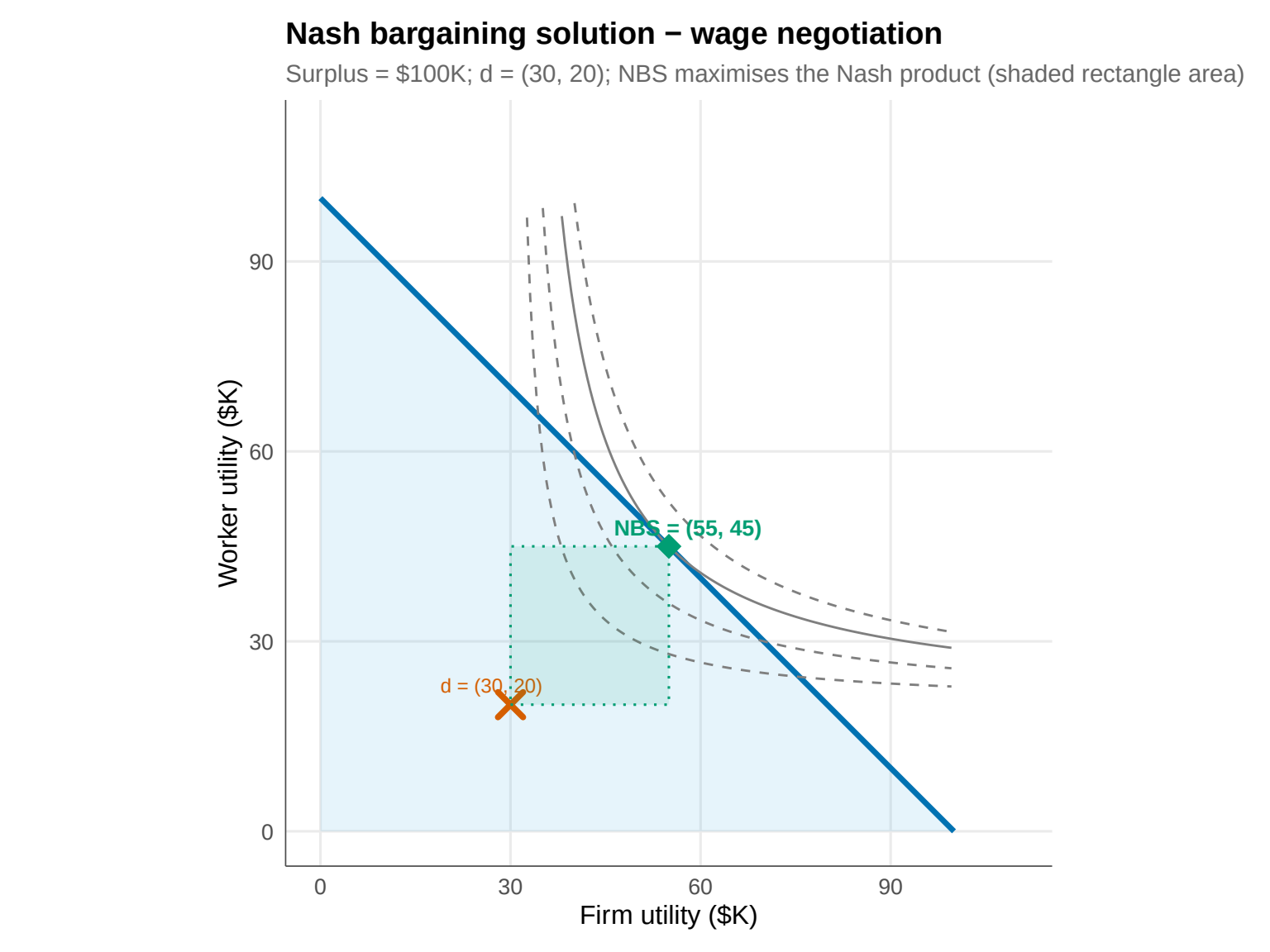
Nash bargaining solution − wage negotiation
Surplus = $100K; d = (30, 20); NBS maximises the Nash product (shaded rectangle area)
Worker utility ($K)
Firm utility ($K)
0
30
60
90
NBS = (55, 45)
d = (30, 20)